

cuts in overall trade distorting support (OTDS), percentage of products to be declared as sensitive products, tariff rate quota expansion for such products, tariff capping, special products, and the Special Safeguards Mechanism (SSM), have persisted. The developing countries, led by India, have been raising their concern regarding non-adherence to free and fair trade through high agricultural subsidies by the developed nations like the USA. India has remained vocal that this Uruguay Round commitment must be resolved first to take the negotiations further. On the other hand, the developed countries argue that the developing countries, particularly India, have delayed the talks on agriculture. The differences cropped up on two major issues – agricultural subsidies and SSM.

15.6.1.1 Subsidies

India's position in agriculture has been predominantly defensive. Like other developing nations, India seeks to maintain agricultural self-sufficiency. Hence, it has remained reluctant in making concessions that may potentially harm its national interests. At the same time India has been demanding reductions in trade-distorting domestic support from the governments of the developed WTO members, particularly the EU and the USA. The developing countries argue that subsidies maintained and continued by the developed countries amounts to non-adherence to the WTO principle of free and fair trade. Continuous subsidies are instrumental in generating inefficiencies that would raise the global food prices in the long-run. The developed countries tried to bypass that by moving away from blue box subsidies to amber and green box subsidies. India argued that, on the principle of reciprocity, the developed nations can't ask for reduction of tariffs or other restrictions that the developing countries impose to counter the high agricultural subsidies given by the developed nations. Thus, before further negotiations, the developed countries must give up/ reduce agricultural subsidies, which would free agricultural prices from any distortion and then would reflect production costs, and hence, efficiency. Without that happening, the developing countries remain unable to export the commodities in which they have comparative advantage.

15.6.1.2 Special Safeguard Mechanism

The Special Safeguard Mechanism (SSM) would allow developing countries to temporarily raise tariffs beyond current legal limits when import volumes increase or prices fall suddenly. However, how much developing countries would be allowed to raise tariffs beyond current 'bound' levels to protect domestic producers remains the bone of contention. India and China pushed for more flexible terms for the use of the SSM, while the US was firm in its stand for predictable market access for its farm products. Agriculture contributes to almost 16% of India's GDP and 60% of employment. Most of India's agricultural workforce members are subsistence farmers working on very small land holdings (less than 2 acres); many are not even landowners and mere sharecroppers. Moreover, India's agriculture remains vulnerable not only to domestic climatic

conditions but also to international prices. Thus, a small increase in agricultural imports could affect the lives of millions. Hence, India argued that SSM is necessary to insulate Indian farmers from the sudden decline in international prices or surge in import volumes of agricultural commodities.

15.6.2 Non-Agricultural Market Access

Non-Agricultural Market Access (NAMA) refers to trade in industrial products. Under NAMA, reduction of tariffs and non-tariff barriers in trade of industrial products such as rubber products, glassware, textiles, etc. have been negotiated in the WTO rounds and ministerial conferences with the Uruguay Round being the most successful one. But peak tariffs continued in a number of goods. Thus, talks under NAMA were taken up during the Doha round of WTO negotiations. The developed countries argued that most tariff cuts in industrial goods should be taken up by the developing countries as tariffs in the developed countries were already very low due to the GATT legacy.

On the other hand, the developing countries, including India, argued that they had the right to maintain above average tariffs under the WTO's Special and Different Treatment provision. As Kathuria (2010) points out, India, along with nine other developing nations proposed the following –

- Developing countries should be provided flexibility in keeping domestically sensitive tariff lines as unbound.
- Elimination of tariffs should not be applicable to them as they need to use tariff as an instrument of industrial policy and as revenue generating source to meet developmental expenditure.
- For using linear formula of tariff reduction, India suggested a coefficient of 0.5 for developed countries and 0.33 for developing countries.
- To tackle high tariff peaks, no bound tariff line shall have a tariff exceeding 3 times the average of all bound tariffs in its tariff schedule. However, some flexibility should be given to developing countries for sensitive tariff lines.
- Implementation period should be 5 years for developed countries and 10 years for developing countries.
- All non ad valorem duties should be converted into ad valorem equivalent, allowing developing countries to retain 3 per cent of their tariff lines with non ad valorem rates.
- Developed countries shall provide Duty Free Quota Free access for all products of LDCs.

15.6.3 Non-trade Related Issues

Starting from the Singapore Issues (elaborated in Unit 13) like investment, government procurement and government policy, India has continuously voiced

dissatisfaction over linking non-trade issues in WTO. India has vehemently opposed against linking trade and labour standards. India has also opposed the use of environmental issues as means of protectionism. It has been argued that through these issues the developed countries try to keep the developing countries on their toes and divert their limited resources and time.

15.6.4 Trade Related Aspects of Intellectual Property Rights

The Agreement on Trade Related Aspects of Intellectual Property Rights (TRIPS) was introduced during the Uruguay Round of the GATT. Like all the developing economies, India believed that TRIPS was meant for gains to the developed nations and not for the developing countries. TRIPS mandated the developing countries to reform their IPR regimes so as to synchronize them with those of developed countries over time. As was the case then, most of the existing patents/trademarks/copyrights were held by the developed countries. Thus, strict implementation of TRIPS would render the developing countries incapable of producing a number of commodities in a profitable manner, thus perpetuating the comparative advantage of the developed economies in them. This would lead to unequal exchange between North –South trading partners which would fail the objective of the WTO. Strengthening IPR protection would increase patent holders' monopoly power and result in significant losses, especially in the short run. This would also lead to closure of local firms engaged in production of foreign imitation goods in the developing countries. Moreover, the impact of strict implementation of TRIPS on technology transfer was ambiguous. The few clauses on facilitation of technology transfer that TRIPS contained were vague.

The developing countries were apprehensive about the impact of TRIPS on domestic pharmaceutical industries and, hence, on the health care sector. Taking due cognizance of this, the Doha round accepted that TRIPS should not stop or prevent members in any way from taking measures to protect public health. It also pointed the flexibilities available to members under TRIPS. TRIPS only authorized domestic production under compulsory licensing and not imports from third parties. This would have dealt a severe blow on the health sector of a nation with inadequate manufacturing capacity in the pharmaceutical sector. To fix this issue, the 2001 Declaration called on the TRIPS Council to find an “expeditious solution” to this problem. That solution was agreed to by WTO members and was announced on the eve of the Cancún Ministerial meeting in 2003. The solution given was – the domestic market requirement of compulsory licensing was waived and least developed countries, as well as to those countries that lacked sufficient manufacturing capacity, were permitted to use compulsory licensing to import pharmaceuticals for “HIV/AIDS, malaria, tuberculosis and other epidemics” from third parties (Saggi, 2012).

However, India had to sign the TRIPs in 1994 as not signing TRIPs would have implied India opting out of WTO. By 2005, India had reformed its IPR regime to

get it in line TRIPs agreement. In fact, presently, India is an important player in pharmaceutical in the global economy.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Briefly discuss India's transformation from GATT to WTO.

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- 2) Highlight India's contribution in WTO in relation to agriculture sector.

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- 3) What is India's contribution in WTO with respect to trade related aspects of Intellectual Property Rights?

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15.7 THE WAY FORWARD

The US backtracked from its commitment to discuss agricultural issues in the 11th Ministerial Conference of the WTO held in Buenos Aires, Argentina during 10-13 December 2017. As discussed earlier, that agriculture has remained a prime concern for India, the talks collapsed. The developed countries pushed for initiating discussions on issues like investment facilitation, gender, micro, small & medium enterprises (MSMEs) and e-commerce which the developing countries opposed. Some developed nations also opposed that India and China no longer deserve special treatment under the 'Special and Differential Treatment' provision.

In the aftermath of the failed negotiations, India held an informal mini Ministerial Conference in New Delhi, India during 19-20 March, 2018. Delegates from almost 52 countries including WTO chairman Roberto Azevedo and trade ministers from seven countries including Afghanistan, Bangladesh, Nepal, Russia, Singapore and South Africa participated. The main aim of the conference was to break the deadlock in negotiations.

This meeting was historical for India and its role in WTO. India had been accused of being obstructionist for India's unflinching stand to protect the interests of the developing nations. With this meeting, India had shed that criticism and had embarked on the role of a facilitator. This was a very important development. Over the last decade or so, India has emerged as a prominent player

in the world economic system. Hence, it is imperative that its bargaining power in the WTO would enhance further in the coming days. India's emerging negotiating capability, coupled with the role of a facilitator would play a pivotal role in the future of the WTO and the multilateral trading system as a whole.

15.8 LET US SUM UP

In this unit, we discussed the characteristics, evolution and future prospects of India's RTAs and multilateral agreements. We also analysed India's role in the GATT and the WTO so far and the future prospects of India in the multilateral trading system. We started with a brief discussion on the different RTAs that India has with other nations at present. Then we analysed the evolution and major characteristics of each of India's major multilateral relationships. In the next section we introduced India's negotiations in the WTO followed by the issues in which India took active role in the WTO. Finally, we discussed present initiatives taken by India to resolve the WTO deadlocks and the possible role that India may play in the multilateral trading system in future.

15.9 KEY WORDS

APTA	The Asia-Pacific Trade Agreement is the oldest RTA joined by India. APTA is the oldest preferential trade agreement between countries in the Asia-Pacific region.
Doha round	The latest and most critical round of WTO negotiation.
GATT	General Agreement on Tariffs and Trade. An agreement signed by 23 countries to initiate multilateral trade liberalization.
GSTP	The Agreement on the Global System of Trade Preferences among Developing Countries was formed as a preferential trade agreement (PTA) with the aim of increasing trade between developing countries in the framework of the UNCTAD in 1988.
Multilateralism	Reciprocal agreements between multiple countries aiming at a common goal, in particular, freer and fairer trade.
NAMA	Non-Agricultural Market Access refers to trade in industrial products.
Regionalism	Reciprocal agreements between two or more countries which may or may not belong to the same geographical neighbourhood.

SAFTA

The South Asian Free Trade Area is an FTA between the seven SAARC countries - Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka.

SSM

The Special Safeguard Mechanism is a tool that would allow developing countries to raise tariffs temporarily beyond current legal limits when import volumes increase or prices fall suddenly.

TRIPS

The Agreement on Trade Related Aspects of Intellectual Property Rights mandated the developing countries to reform their IPR regimes so as to synchronize them with those of developed countries over time.

Uruguay Round

The final round of GATT negotiation that gave birth to WTO.

WTO

World Trade Organization. WTO is a supranational organization of 164 member nations that regulates international trade.

15.10 SOME USEFUL REFERENCES

Agarwal, M. and S. Ghosh (2017). *The Effect of RTAs on India's Trade*. In M. Agarwal, J. Wang and J. Whalley (Eds.) *China and India: The International Context and Economic Growth, Manufacturing Performance and Rural Development*. Singapore: World Scientific.

Kathuria, M. (2010). *Doha Round of Multilateral Trade Negotiations - Critical Issues in Trade Development pertaining to India*. RBI.

<https://rbi.org.in/scripts/PublicationReportDetails.aspx?UrlPage=&ID=589>

Saggi, K. (2012). *India at the WTO: From Uruguay to Doha and Beyond*. In C. Ghate (Ed.) *Oxford Handbook of the Indian Economy*. Oxford University Press.

15.11 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 15.3
- 2) See sub-section 15.3.3
- 3) See sub-section 15.3.5

Check Your Progress 2

India and
Multilateral Trading
System

- 1) See Section 15.4
- 2) See sub-section 15.6.1
- 3) See sub-section 15.6.4

